

EVG1004 - Robert & Linda Castellano - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

|                         |                                                                 |
|-------------------------|-----------------------------------------------------------------|
| Taxpayer                | Robert A. Castellano (XXX-XX-2847), age 67                      |
| Spouse                  | Linda M. Castellano (XXX-XX-6135), age 64                       |
| Address                 | 5127 Bayou Heron Ln, Sarasota, FL 34231                         |
| Filing status           | Married filing jointly                                          |
| Age 65+ boxes           | Robert - checked; Linda (born 03/22/1961) - NOT checked         |
| Digital assets question | No                                                              |
| Forms included          | 1040; Sch 1-A, 3, B (Part III), D; Form 1116 (general category) |
| Other filings           | FinCEN 114 (FBAR) - Linda - BSA E-Filing 03/27/2026             |
| State                   | None - Florida has no individual income tax                     |
| Filing method           | E-file (8879 signed 03/25/2026); direct deposit Truist ****3380 |

| Key figures                        | Amount  |
|------------------------------------|---------|
| Total income (1040 line 9)         | 115,565 |
| Adjusted gross income (line 11)    | 115,565 |
| Deduction (line 12e) - Standard    | 33,100  |
| QBI deduction (line 13a)           | 0       |
| Schedule 1-A deductions (line 13b) | 6,000   |
| Taxable income (line 15)           | 76,465  |
| Total tax (line 24)                | 6,789   |
| Total payments (line 33)           | 11,810  |
| REFUND (line 35a)                  | 5,021   |

## Form 1040

| Line | Description                                                          | Amount  |
|------|----------------------------------------------------------------------|---------|
| 1a   | Total amount from Form(s) W-2, box 1                                 | 0       |
| 1b   | Household employee wages not reported on Form(s) W-2                 | 0       |
| 1c   | Tip income not reported on line 1a (Form 4137)                       | 0       |
| 1e   | Taxable dependent care benefits (Form 2441, line 26)                 | 0       |
| 1h   | Other earned income                                                  | 0       |
| 1z   | Add lines 1a through 1h                                              | 0       |
| 2a   | Tax-exempt interest                                                  | 3,115   |
| 2b   | Taxable interest                                                     | 4,162   |
| 3a   | Qualified dividends                                                  | 5,208   |
| 3b   | Ordinary dividends                                                   | 6,184   |
| 4a   | IRA distributions                                                    | 30,000  |
| 4b   | IRA distributions - taxable amount                                   | 30,000  |
| 5a   | Pensions and annuities                                               | 41,767  |
| 5b   | Pensions and annuities - taxable amount                              | 41,767  |
| 6a   | Social security benefits                                             | 38,400  |
| 6b   | Social security benefits - taxable amount                            | 32,640  |
| 7    | Capital gain or (loss) (Schedule D)                                  | 812     |
| 8    | Additional income from Schedule 1, line 10                           | 0       |
| 9    | Total income                                                         | 115,565 |
| 10   | Adjustments to income from Schedule 1, line 26                       | 0       |
| 11   | Adjusted gross income                                                | 115,565 |
| 12e  | Standard deduction or itemized deductions (Standard)                 | 33,100  |
| 13a  | Qualified business income deduction (Form 8995/8995-A)               | 0       |
| 13b  | Additional deductions from Schedule 1-A, line 38                     | 6,000   |
| 14   | Add lines 12e, 13a, and 13b                                          | 39,100  |
| 15   | Taxable income                                                       | 76,465  |
| 16   | Tax                                                                  | 7,974   |
| 17   | Amount from Schedule 2, line 3                                       | 0       |
| 18   | Add lines 16 and 17                                                  | 7,974   |
| 19   | Child tax credit / credit for other dependents (Schedule 8812)       | 0       |
| 20   | Amount from Schedule 3, line 8                                       | 1,185   |
| 21   | Add lines 19 and 20                                                  | 1,185   |
| 22   | Subtract line 21 from line 18                                        | 6,789   |
| 23   | Other taxes, including self-employment tax, from Schedule 2, line 21 | 0       |
| 24   | Total tax                                                            | 6,789   |
| 25a  | Federal income tax withheld - Form(s) W-2                            | 0       |
| 25b  | Federal income tax withheld - Form(s) 1099                           | 4,660   |
| 25c  | Federal income tax withheld - other forms (incl. Form 8959 line 24)  | 0       |
| 25d  | Total withholding                                                    | 4,660   |
| 26   | 2025 estimated tax payments and amount applied from 2024 return      | 7,150   |
| 27a  | Earned income credit (EIC)                                           | 0       |

| Line | Description                                                  | Amount |
|------|--------------------------------------------------------------|--------|
| 28   | Additional child tax credit (Schedule 8812)                  | 0      |
| 29   | American opportunity credit - refundable (Form 8863, line 8) | 0      |
| 31   | Amount from Schedule 3, line 15                              | 0      |
| 32   | Total other payments and refundable credits                  | 0      |
| 33   | Total payments                                               | 11,810 |
| 34   | Amount overpaid                                              | 5,021  |
| 35a  | Refund                                                       | 5,021  |
| 37   | Amount you owe                                               | 0      |
| 38   | Estimated tax penalty (Form 2210)                            | 0      |

## Schedule B

| Line | Description                                                        | Amount    |
|------|--------------------------------------------------------------------|-----------|
| 1.1  | Charles Schwab ****3307 - interest (corporate bonds / sweep)       | 2,439     |
| 1.2  | Charles Schwab ****3307 - U.S. Treasury interest                   | 1,862     |
| 1.3  | Royal Bank of Canada ****4471 (CAD 42.18 @ 1.398) - foreign        | 30        |
| 1.4  | Accrued interest paid on purchase - Home Depot 4.90% 2029 (Schwab) | (169)     |
| 2    | Total interest                                                     | 4,162     |
| 4    | Taxable interest (to Form 1040, line 2b)                           | 4,162     |
| 5.1  | Charles Schwab ****3307                                            | 6,184     |
| 6    | Ordinary dividends (to Form 1040, line 3b)                         | 6,184     |
| 7a   | Foreign financial account at any time in 2025? / FBAR required?    | Yes / Yes |
| 7b   | Country                                                            | Canada    |
| 8    | Grantor of / transferor to a foreign trust?                        | No        |

## Schedule D

| Line | Description                           | Amount |
|------|---------------------------------------|--------|
| 7    | Net short-term capital gain or (loss) | 0      |
| 13   | Capital gain distributions            | 812    |
| 15   | Net long-term capital gain or (loss)  | 812    |
| 16   | Combine lines 7 and 15                | 812    |

## Schedule 1-A

| Line   | Description                                                             | Amount  |
|--------|-------------------------------------------------------------------------|---------|
| Part I | Modified AGI                                                            | 115,565 |
| Part V | Enhanced deduction for seniors (1 x max(0, 6,000 - 6% x excess MAGI 0)) | 6,000   |
| 38     | Total additional deductions (to Form 1040, line 13b)                    | 6,000   |

## Form 1116

| Line    | Description                                                                                  | Amount |
|---------|----------------------------------------------------------------------------------------------|--------|
| summary | Category: general (pension); foreign taxes 2,575; foreign-source TI 11,359; limitation 1,185 | 1,185  |

## Schedule 3

| Line | Description                                         | Amount |
|------|-----------------------------------------------------|--------|
| 1    | Foreign tax credit                                  | 1,185  |
| 8    | Total nonrefundable credits (to Form 1040, line 20) | 1,185  |

## Social Security benefits worksheet

| Social Security Benefits Worksheet (MFJ)                  | Amount  |
|-----------------------------------------------------------|---------|
| 1 Box 5 of SSA-1099 (Robert)                              | 38,400  |
| 2 50% of line 1                                           | 19,200  |
| 3 Lines 1z, 2b, 3b, 4b, 5b (incl. Canadian pension), 7, 8 | 82,925  |
| 4 Tax-exempt interest (line 2a)                           | 3,115   |
| 5 Provisional income (2 + 3 + 4)                          | 105,240 |
| 8 Base amount (MFJ)                                       | 32,000  |
| 10 Additional amount                                      | 12,000  |
| 18 Taxable social security (85% maximum reached)          | 32,640  |

## Standard vs itemized comparison (Schedule A not filed)

| Itemized vs standard                                                                                          | Amount   |
|---------------------------------------------------------------------------------------------------------------|----------|
| Medical: Medicare B \$2,220 + D \$462 (SSA-1099) + retiree premium \$3,960 + dental/Rx/eyewear/copays \$3,195 | 9,837    |
| Less 7.5% of AGI                                                                                              | (8,667)  |
| Deductible medical                                                                                            | 1,170    |
| Real estate tax (SALT cap \$40,000 not reached)                                                               | 5,840    |
| Charitable: envelopes \$2,600 + \$8,000 IRA check (not a QCD)                                                 | 10,600   |
| Total itemized                                                                                                | 17,610   |
| Standard deduction MFJ \$31,500 + \$1,600 (Robert 65+; Linda 64 - no)                                         | 33,100   |
| Senior deduction (Robert only) - allowed with either                                                          | 6,000    |
| Use                                                                                                           | Standard |

## Form 1116 detail (general category)

| Form 1116 - General category income (Canada)                          | Amount           |
|-----------------------------------------------------------------------|------------------|
| 1a Gross foreign-source income: NR-4 pension CAD 24,000 / 1.398       | 17,167           |
| 3a Standard deduction + senior deduction (not definitely related)     | 39,100           |
| 3d/3e Gross foreign income / gross income all sources (line 9)        | 17,167 / 115,565 |
| 6 Apportioned deductions                                              | 5,808            |
| 7 Net foreign-source taxable income                                   | 11,359           |
| 8 Foreign taxes paid: CAD 3,600 / 1.398 (15% treaty rate; paid basis) | 2,575            |
| 10 Carryover from prior years (2023-2024)                             | 2,468            |
| 18 Worldwide taxable income (adjustment exception - no foreign QD/CG) | 76,465           |
| 20 US tax (1040 line 16)                                              | 7,974            |
| 21 Limitation = line 20 x line 17 / line 18                           | 1,185            |

| Form 1116 - General category income (Canada)                                      | Amount |
|-----------------------------------------------------------------------------------|--------|
| 24 Foreign tax credit (to Schedule 3 line 1)                                      | 1,185  |
| Carryforward to 2026 (general category): 2023 \$1,210 + 2024 \$1,258 + 2025 1,390 | 3,858  |

## Schedule B Part III / FBAR summary

| Schedule B Part III                                                             | Answer                                                                               |
|---------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|
| 7a Financial interest in / signature authority over a foreign account?          | Yes                                                                                  |
| 7a Required to file FinCEN Form 114?                                            | Yes                                                                                  |
| 7b Country                                                                      | Canada                                                                               |
| 8 Foreign trust                                                                 | No                                                                                   |
| Financial institution                                                           | Royal Bank of Canada, 1505 Barrington St, Halifax NS (chequing ****4471), sole owner |
| Maximum value (CAD)                                                             | 37,912.44 (06/27/2025)                                                               |
| Rate: Treasury Reporting Rates of Exchange 12/31/2025 (Canada-Dollar) - assumed | 1.371                                                                                |
| Maximum value (USD)                                                             | 27,653                                                                               |
| Aggregate > \$10,000 -> FBAR required                                           | Yes                                                                                  |
| Due 04/15/2026 (automatic extension to 10/15/2026) - BSA E-Filing               | Filed 03/27/2026                                                                     |
| Form 8938 (MFJ, US residents: > \$100,000 year-end / \$150,000 any time)        | Not required                                                                         |

## Foreign currency translation

| Item                                                  | CAD    | Rate  | USD    |
|-------------------------------------------------------|--------|-------|--------|
| NR-4 gross pension (IRS 2025 yearly average)          | 24,000 | 1.398 | 17,167 |
| NR-4 tax withheld                                     | 3,600  | 1.398 | 2,575  |
| RBC interest                                          | 42     | 1.398 | 30     |
| RBC max balance (FBAR - Treasury 12/31 rate, assumed) | 37,912 | 1.371 | 27,653 |